

The account matures when the girl turns 21, though up to 50% of the corpus can be withdrawn after she is 18 or gets married. If account is not closed after maturity, the balance will continue to earn interest as specified for the scheme from time to time.

Pre-mature Closure of Account

1. In the event of death of the account holder, the account shall be closed immediately on production of death certificate issued by the competent authority and the balance at the credit of the account shall be paid along with interest till the month preceding the month of premature closure of the account , to the guardian of the account holder.
2. Where the Central Government is satisfied that operation or continuation of the account is causing undue hardship to the account holder, it may allow pre-mature closure of the account only in cases of extreme compassionate grounds such as medical support in life- threatening diseases, death, etc.

Taxation

In terms of taxation, deduction up to ₹1.5 lakh is allowed under Section 80C in the Sukanya Samriddhi Account. Also, just like PPF, EPF or VPF, the scheme qualifies for tax-free status on withdrawal and interest income.

Advantages of SSS

1. The interest rate offered by SSS account is planned to be 0.75% higher than what will be given for PPF account. So, if you have an eligible girl child, it makes lot of sense to invest in SSS scheme.